

Department of Technical Education
Capstone project

Format- 4
Cost Breakdown Structure

Capstone project Name: <State the Title of the capstone project >

Capstone project Members: <List of group members>

A cost breakdown structure (CBS) breaks down cost data into different categories, and helps you manage costs efficiently. It is a crucial part of the capstone project planning and management process, as it allows you to gain better insight into how much you spend and what you spend your capstone project budget on. When you have a solid structure in place, you can have better control of your capstone project costs to avoid going over budget.

1. Analyze your Work Breakdown Structure

- Before you can identify your costs, you must first determine what your capstone project entails.
- You can do this by looking at your work breakdown structure in detail, and work out the components that will contribute to the capstone project costs.

2. Estimate the labor cost of work

- The next step is to estimate the labor cost of work for each task or activity you have identified in your WBS.
- The time it takes for your team members to finish each work package in the WBS contribute to your labor costs.
- Once you have estimated the labor costs of work for all the tasks, you can use them to work out the final cost of labor for your capstone project.

3. Estimate the cost of materials

The next step is to look at the cost of the materials needed to complete each task you identified in your WBS. These costs include

- Raw material costs
- Equipment and parts purchased for this capstone project
- Anything rented for the purpose of the capstone project

4. Overhead costs.

- Ensure your CBS also includes an appropriate allocation to overhead costs.
- Overhead include various costs that aren't related to specific tasks, but are necessary for the capstone project to take place.

5. Build contingency into your CBS

- No matter how accurate your estimates are, you should still allow for some contingency in your cost breakdown structure in the CBS

6.Final-check

- The last step in creating a cost breakdown structure is to check your estimates against your available budget.
- If it your estimate is within the available budget, then you can be confident that the financial aspect of your capstone project will be smooth sailing
- If your CBS comes in higher than the available budget, you can look at ways to control costs.

Date

Signature of the student

Signature of the cohort owner